

Stereo. H C J D A-38.
JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

C.R.No.72596 of 2024

Malik Mazhar Hussain (deceased) through legal heirs

Versus

Muhammad Ijaz & another

J U D G M E N T

Date of hearing:	07.05.2026.
Petitioners by:	Mr. Shahid Mahmood Khan Khilji, Advocate.
Respondents by:	M/s. Mazhar Hayat and Nadia Iffat, Advocates.

MUHAMMAD SAJID MEHMOOD SETHI, J.- Through this revision petition, the petitioners, being the legal heirs and successors-in-interest of late Malik Mazhar Hussain (deceased), have assailed the concurrent judgments and decrees dated 24.04.2024 and 22.10.2024 passed by the learned Civil Judge 1st Class, Sahiwal, District Sargodha and the learned Additional District Judge, Sahiwal, District Sargodha, respectively, whereby the suit instituted by the petitioners for specific performance of agreement to sell dated 29.01.2016 was dismissed, while the cross-suit instituted by the respondents for possession of the suit property was decreed.

2. Briefly stated, the predecessor of the petitioners instituted a suit for specific performance on the basis of agreement to sell No.27 dated 29.01.2016 (Ex.P1) pertaining to a shop measuring 13 x 22 feet situated at Main Sargodha Road opposite Petrol Pump in Mouza Chawaywala, Tehsil Sahiwal, District Sargodha. According to the petitioners, respondent No.1 agreed to sell the suit property for a total sale consideration of Rs.13,00,000/-, out of which different amounts aggregating to Rs.9,00,000/- were allegedly paid

as earnest money from time to time. It was further asserted that possession of the suit property had also been delivered to the predecessor of the petitioners at the time of execution of the agreement. The petitioners maintained that, in order to defeat their rights arising out of Ex.P1, respondent No.1 subsequently transferred the suit property in favour of respondent No.2, his son, through registered sale deed dated 15.10.2018 followed by mutation dated 29.10.2018.

3. The respondents contested the suit by filing written statement and also instituted a cross-suit for possession and mesne profits. Their primary stance was that although agreement to sell dated 29.01.2016 had indeed been executed and earnest money amounting to Rs.5,00,000/- had been received, yet the predecessor of the petitioners failed to pay the remaining sale consideration within the stipulated time and subsequently himself requested cancellation of the transaction and refund of the earnest money. According to the respondents, the amount of Rs.5,00,000/- was thereafter returned through bank instruments and cash payments, whereafter the agreement stood cancelled.

4. On the basis of divergent pleadings, the learned Trial Court framed issues and, after recording evidence of the parties, dismissed the suit for specific performance while decreeing the cross-suit for possession. The appeal preferred by the petitioners was also dismissed by the learned Appellate Court. Hence, the instant revision petition.

5. Learned counsel for the petitioners contends that both the learned Courts below failed to appreciate the evidence in its true perspective. He submits that execution of the agreement to sell, payment of substantial earnest money, and delivery of possession are admitted facts and, therefore, the learned Courts below could not legally deny the relief of specific performance. He further argues that the respondents never issued any notice regarding cancellation of the agreement and that the amount allegedly

refunded by the respondents pertained to another independent transaction relating to a second shop. According to him, the learned Courts below have misread and ignored material evidence, particularly the endorsements recorded on the reverse side of Ex.P1. He has placed reliance upon Muhammad Anwar v. Muhammad Aslam and others (2012 SCMR 345).

6. Conversely, learned counsel for the respondents supports the impugned judgments and submits that both the learned Courts below have returned concurrent findings of fact after proper appraisal of oral and documentary evidence and no jurisdictional defect, illegality, perversity, misreading, or non-reading of evidence has been pointed out warranting interference in revisional jurisdiction.

7. Arguments heard. Record perused.

8. The foundational fact regarding execution of agreement to sell dated 29.01.2016 (Ex.P1) between the parties stands admitted on the record. Likewise, payment of earnest money amounting to Rs.5,00,000/- through two separate transactions is also admitted by the respondents. The real controversy, however, revolves around two pivotal questions: firstly, whether the petitioners succeeded in proving payment of the additional amounts allegedly paid subsequently; and secondly, whether the agreement remained subsisting and enforceable at the time of institution of the suit.

9. The learned Courts below have concurrently held that the petitioners failed to prove payment of the disputed amounts allegedly paid after the admitted payment of Rs.5,00,000/-. So far as the alleged payment of Rs.3,00,000/- on the basis of endorsement dated 25.08.2017 is concerned, the record reveals that none of the witnesses produced by the petitioners was either a marginal witness to the said endorsement or present at the time of its alleged execution. Even the scribe of the original agreement categorically admitted that he neither wrote nor witnessed the said endorsement. Significantly, the sole attesting witness thereof,

namely Muhammad Kamran, was withheld by the petitioners without any plausible explanation. The learned Courts below, therefore, rightly drew an adverse inference against the petitioners in terms of Article 129(g) of the Qanun-e-Shahadat Order, 1984. In Mst. Zarsheda v. Nobat Khan (PLD 2022 Supreme Court 21), principle of adverse inference was reiterated by the august Supreme Court as infra:

“9. At this juncture Article 129 of the Qanun-e-Shahadat Order 1984 is quite relevant under which court may presume the existence of any fact which it thinks likely to have happened, regard being had to the common course of natural events, human conduct and public and private business, in their relation to the facts of the particular case. According to the illustrations highlighted for resonating the presumption, Illustration (g) is quite relevant which illuminates "that evidence which could be and is not produced would, if produced, be un-favourable to the person who withholds it". Adverse inference for non-production of evidence is one of the strongest presumptions known to law and the law allows it against the party who withholds the evidence. Regardless of the presence of important witnesses (the alleged donor) and the alleged witness of the mutation, the defendant failed to produce them despite framing of specific issue whether there was no transaction of sale but a gift.”

10. Similarly, the alleged payment of Rs.1,00,000/- in cash on 23.05.2017 was neither reflected in the original pleadings nor substantiated through any independent or reliable evidence. The said plea surfaced only through a subsequent amendment in the plaint and remained unsupported by documentary proof or trustworthy oral testimony. The learned Courts below, therefore, rightly concluded that the petitioners failed to prove payment of any amount beyond the admitted sum of Rs.5,00,000/-.

11. On the other hand, the respondents produced substantial oral and documentary evidence establishing return of earnest money to the predecessor of the petitioners through bank drafts, pay orders, cheque transactions, and cash payments. Officials from the

concerned banks appeared as witnesses and proved encashment of the relevant instruments by the predecessor of the petitioners. The learned Courts below have elaborately discussed such evidence and concurrently concluded that the amount of Rs.5,00,000/- stood refunded and the agreement consequently stood cancelled at the request of the predecessor of the petitioners.

12. At this stage, it is also significant to observe that in a suit for specific performance, the burden squarely lies upon the plaintiff to prove the agreement and the payments allegedly made thereunder through cogent, confidence-inspiring, and legally admissible evidence. Mere incorporation of endorsements on the reverse side of an agreement, without proof of their execution through reliable attesting witnesses or corroborative evidence, does not by itself discharge such burden. The petitioners were required to establish the subsequent payments through the best available evidence, which they failed to do.

13. The contention of the petitioners that the refunded amount pertained to another transaction relating to a second shop also does not advance their case. The learned Courts below have rightly observed that such plea neither emerged from the foundational pleadings nor was substantiated through any reliable evidence. A factual plea unsupported by pleadings and proof cannot be accepted merely on conjectures or assumptions. It is settled that a party cannot be allowed to adduce evidence beyond pleadings. Reliance is placed upon the judgment reported as Muhammad Arif Tarar and another v. Matloob Ahmad Warraich and others (PLD 2025 Supreme Court 691), wherein this principle was reiterated by the august Court in following words:

“5. Additionally, as held in Sardar Muhammad Naseem Khan v. Returning Officer, PP-12 and others (2015 SCMR 1698), pleadings frame the boundaries of a party's case and the parties are bound to lead evidence in line with them. A party is not permitted to go beyond its pleadings and cannot lead or rely upon evidence that is inconsistent

with what has been pleaded; even if such evidence is brought on record, it must be ignored. In this context, any belated amendment that introduces a new factual assertion must be examined with heightened scrutiny.”

14. Learned counsel for the petitioners has also argued that no formal notice regarding cancellation of the agreement was ever issued by the respondents. There can be no cavil with the proposition that where an agreement to sell has been partly performed and possession delivered, unilateral cancellation without notice ordinarily cannot be treated as legally sufficient. However, the said principle must be examined in the context of the factual matrix established in the present case. Both the learned Courts below have concurrently found that the predecessor of the petitioners himself requested cancellation of the transaction and thereafter accepted refund of earnest money by personally encashing the relevant banking instruments. Once the predecessor of the petitioners accepted refund of earnest money and acquiesced in cancellation of the agreement, he could not subsequently challenge the cancellation on the ground that no formal notice had been issued.

15. The argument that respondent No.2 was not a bona fide purchaser also lacks substance. Once the agreement to sell Ex.P1 was found to have been cancelled and the earnest money stood refunded and accepted, no subsisting enforceable right remained in favour of the petitioners. Consequently, the subsequent sale deed executed in favour of respondent No.2 could not be invalidated merely on the basis of the earlier cancelled agreement.

16. It may further be observed that acceptance and encashment of the refunded amount by the predecessor of the petitioners constituted strong conduct-based evidence reflecting abandonment of the earlier contractual arrangement. Such conduct is wholly inconsistent with the plea of continuous readiness and willingness

to perform the contract, which is a sine qua non for grant of equitable relief of specific performance.

17. It is well-settled that relief of specific performance is equitable and discretionary in nature. A plaintiff seeking such relief must establish not only execution of the agreement but also continuous readiness and willingness to perform his part of the contract. In the present case, the petitioners failed to prove payment of the disputed amounts and also failed to rebut the overwhelming evidence produced by the respondents regarding refund of earnest money and cancellation of the agreement. Mere existence of an earlier agreement or possession of the property could not automatically entitle the petitioners to a decree for specific performance.

18. It is also a settled principle that where the conduct of a plaintiff creates serious doubt regarding his financial capacity, bona fides, or intention to perform the agreement, the equitable jurisdiction of the Court cannot be invoked in his favour as a matter of right. The equitable relief of specific performance is not granted mechanically merely because execution of the agreement is admitted; rather, the Court is required to examine the entire attending circumstances, conduct of the parties, and surrounding evidence before exercising such discretion.

19. Reliance placed by the petitioners upon the case of Muhammad Anwar supra, is distinguishable on facts. While an admitted agreement to sell may create an enforceable right, such right remains subject to proof that the agreement continued to subsist and remained enforceable. In the present case, both the learned Courts below have concurrently found that the agreement stood cancelled at the request of the predecessor of the petitioners and the earnest money was refunded and accepted by him.

20. It is further noteworthy that the findings recorded by both the learned Courts below are concurrent findings of fact based upon proper appreciation of oral as well as documentary evidence.

The scope of revisional jurisdiction under Section 115, C.P.C. is supervisory and extremely limited in nature. This Court cannot re-appraise evidence merely because another view may also be possible. Interference in revisional jurisdiction is warranted only where the impugned judgments suffer from jurisdictional defect, patent illegality, material irregularity, or misreading and non-reading of evidence resulting in miscarriage of justice. Scope of revisional powers was well elaborated by august Supreme Court in Ch. Fayyaz-Ur-Rehman Khalid v. Amir Javed and others (2025 SCMR 2092) as under:-

“3. Indisputably the revisional court has limited jurisdiction under section 115 C.P.C. which includes, (a) when trial court found to have exercised jurisdiction not vested in it by law, (b) failed to exercise a jurisdiction so vested, or (c) to have acted in the exercise of its jurisdiction illegally or with material irregularity. Nothing of such exercise (a to c) has been expressed by the revisional court. It is to be kept in mind that revisional court cannot be substituted as appellate court to replace its own findings when findings of Trial Court are neither arbitrary or perverse to enable the revisional court to exercise jurisdiction with the frame described above.”

21. Learned counsel for the petitioners has failed to point out any material piece of evidence which may have been ignored by the learned Courts below, nor has he been able to demonstrate any perversity or illegality in the appreciation of evidence. Rather, the impugned judgments reflect comprehensive discussion of the evidence and correct application of settled principles of law governing suits for specific performance.

22. It is by now well-established that concurrent findings of fact recorded by the Courts below carry great sanctity and are not to be lightly disturbed in revisional jurisdiction unless shown to be the result of gross misreading, non-reading, arbitrariness, or perversity. The petitioners have failed to identify any material piece of evidence that may have been ignored or misconstrued by the

learned Courts below. Rather, the impugned judgments reflect comprehensive discussion of the evidence and correct application of settled principles of law governing suits for specific performance.

23. For what has been discussed above, this Court finds no illegality, perversity, jurisdictional defect, misreading, or non-reading of evidence in the impugned judgments and decrees passed by the learned Courts below warranting interference by this Court in exercise of revisional jurisdiction.

24. Consequently, the instant revision petition, being devoid of merit, is hereby **dismissed**. The concurrent judgments and decrees passed by the learned Courts below are maintained. No order as to costs.

(Muhammad Sajid Mehmood Sethi)
Judge

APPROVED FOR REPORTING

Judge

****Sultan****